IE07

Industry: Growth, LPG Reforms, MSME and Industrial Policy

About 2-3 questions a paper out of the 8 Indian Economy questions. Documented repeats: Ease of Doing Business and DPIIT (2021 and 2024), MSME definition and MSME promotion policy (2023, 2024). Learn the MSME table in both its versions and the eight-core-industry weights and you have banked these marks.

This chapter is dates, numbers and names - and that is good news, because nothing here needs thinking on exam day. Four industrial policy resolutions, one big reform year, one MSME table and one set of PSU criteria. RPSC asks it exactly that way: which year, which policy, which weight, which limit.

Indian Industry: Policy, Reform, MSME

The four resolutions

- IPR 1948 - first, mixed economy
- IPR 1956 - 'Economic Constitution', Schedules A/B/C
- IPS 1977 - Janata, tiny sector, DICs
- IPS 1980 - nucleus plants, economic federalism

1991 LPG

- 24 July 1991 - Narasimha Rao, Manmohan Singh
- Licensing kept for only 18 industries
- Public sector reserved list 17 to 8
- MRTP asset limit of Rs 100 crore scrapped
- FDI 51% automatic in 34 industries
- Rupee devalued 1 and 3 July 1991

Measuring industry

- IIP base 2011-12, NSO/MoSPI
- Manufacturing 77.63, Mining 14.37, Electricity 7.99
- Eight Core Industries = 40.27% of IIP
- Refinery products highest 28.04, fertilizers lowest 2.63

MSME

- MSMED Act 2006, in force 2 October 2006
- 2020 revision - composite investment + turnover
- 1 April 2025 revision - investment x2.5, turnover x2
- Udyam Registration, 1 July 2020
- PMEGP, CGTMSE, Samadhaan, ZED, RAMP
- PM Vishwakarma, 17 September 2023

Promotion drives

- Make in India - 25 September 2014
- PLI - 14 sectors, Rs 1.97 lakh crore
- Startup India - 16 January 2016
- Atmanirbhar Bharat - 12 May 2020, Rs 20 lakh crore
- National Manufacturing Policy 2011, NIMZ

Space and assets

- DMIC, CBIC, AKIC, BMEC - agency NICDC
- SEZ Act 2005; Kandla 1965 first EPZ in Asia
- National Monetisation Pipeline, 23 August 2021
- Ease of Doing Business - DPIIT runs BRAP

PSUs and labour

- Maharatna, Navratna, Miniratna I and II
- DIPAM under the Ministry of Finance
- Four labour codes, effective 21 November 2025

The four industrial policy resolutions – learn them as a sequence

Before 1991 India had four major industrial policy statements. Each one is remembered for exactly one thing. 1948 for being the first. 1956 for the three schedules. 1977 for the small sector and the District Industries Centres. 1980 for nucleus plants. Attach one signature idea to each year and you will get every question in this section right. RPSC also likes to ask these as a chronological ordering question, so learn the order, not just the facts.

The policy chronology – asked as an ordering question

IPR 1948 (6 April 1948) → IPR 1956 (30 April 1956) → IPS 1977 (Janata Government) → IPS 1980 (Indira Gandhi Government) → New Industrial Policy (24 July 1991)

The four resolutions and their signature idea

Policy	Date / Government	Remembered for
Industrial Policy Resolution 1948	6 April 1948	First industrial policy of independent India; accepted a mixed economy; four-fold classification of industries
Industrial Policy Resolution 1956	30 April 1956	The 'Economic Constitution of India'; framework for the Second Five Year Plan (Mahalanobis model); aim of a 'socialistic pattern of society'
Industrial Policy Statement 1977	Janata Government	Top priority to the tiny and small sector; created District Industries Centres (DICs); expanded SSI reservation
Industrial Policy Statement 1980	Indira Gandhi Government	'Economic federalism' through nucleus plants in industrially backward districts; regularisation of excess capacity

IPR 1956 - the three schedules, the single most asked detail

Schedule	How many industries	Who runs them
Schedule A	17	Exclusively the State
Schedule B	12	Progressively state-owned; private sector may supplement
Schedule C	All the rest	Left to the private sector

TRAP
Do not swap 1977 and 1980. District Industries Centres = 1977, Janata Government. Nucleus plants and 'economic federalism' = 1980, Indira Gandhi. This exact pair is standard match-the-following material. And remember 1956 = 17 and 12, in that order.

1991 - what liberalisation, privatisation and globalisation actually meant

The New Industrial Policy was announced on 24 July 1991. Prime Minister P. V. Narasimha Rao, Finance Minister Manmohan Singh. It came out of a balance of payments crisis - gold was pledged with the Bank of England and the Bank of Japan in mid-1991, and the rupee was devalued in two steps on 1 and 3 July 1991, about 18 to 19 per cent in all. Students learn the letters L-P-G and stop there. Do not. Each letter meant a specific set of administrative changes, and it is those changes that get asked, not the slogan.

L - Liberalisation: the State stops asking permission

- Industrial licensing abolished for all industries except 18.
- The list of industries reserved for the public sector cut from 17 to 8.
- The MRTP asset limit of Rs 100 crore scrapped - big firms no longer needed prior approval to expand.
- Compulsory licensing survives today for only four groups of items.
- Those four: alcohol distilling and brewing, cigars and cigarettes, aerospace and defence electronics, industrial explosives.

P – Privatisation: the State stops owning

- Disinvestment of government equity in central public sector enterprises began.
- Disinvestment today sits with DIPAM - the Department of Disinvestment was renamed the Department of Investment and Public Asset Management in April 2016.
- DIPAM is under the Ministry of Finance. Not Commerce, not Heavy Industries.
- Sick-industry law changed too - SICA and the BIFR were eventually replaced by the Insolvency and Bankruptcy Code, 2016.

G – Globalisation: the economy opens to the world

- FDI up to 51 per cent allowed on the automatic route in 34 high-priority industries.
- The rupee was devalued and moved towards a market-determined rate.
- MRTP Act, 1969 was replaced by the Competition Act, 2002, with the Competition Commission of India as regulator.
- FERA, 1973 was replaced by FEMA, 1999, which came into force on 1 June 2000.
- Import licensing and tariffs were progressively lowered; India became a founder member of the WTO in 1995.

What L, P and G actually changed in 1991

New Industrial Policy, 24 July 1991

Liberalisation
the State stops asking permission
- Licence for only 18
- Reserved list 17 to 8
- MRTP asset limit gone
- Only 4 items today

Privatisation
the State stops owning
- CPSE disinvestment
- DIPAM, under Finance
- SICA/BIFR to IBC 2016

Globalisation
the economy opens up
- FDI 51% in 34 areas
- MRTP to CCI, 2002
- FERA to FEMA, 1999
- WTO founder, 1995

IPR 1956 versus NIP 1991 – the whole shift in one box

IPR 1956	New Industrial Policy 1991
The State is the engine of industrialisation	Private enterprise is the engine; the State becomes a regulator
17 industries reserved exclusively for the State	Reserved list cut to 8
Licence needed for practically all industry	Licence needed for only 18 industries
Foreign investment tightly screened	FDI up to 51 per cent automatic in 34 priority industries
MRTP restrains large houses by asset size	MRTP asset limit abolished; focus shifts to anti-competitive conduct
Second Five Year Plan, heavy industry, Mahalanobis	Stabilisation plus structural adjustment, IMF-supported

ASKED IN RAS

RPSC has repeatedly tested the 1991 package in statement form. Learn as fact: licensing abolished except for 18 industries, reserved list cut 17 to 8, MRTP asset limit scrapped. The reservation of 807 items exclusively for the small-scale sector was NOT a feature of the 1991 policy - that belonged to the older SSI reservation regime, and it is the standard wrong option.

Measuring industry – IIP and the Index of Eight Core Industries

Two indices measure industrial output, and students mix them up constantly. The IIP measures the whole of industry and is compiled by the National Statistical Office under MoSPI. The Index of Eight Core Industries measures only eight basic industries and is released by the Office of the Economic Adviser in the Ministry of Commerce and Industry. The eight core industries are a subset of the IIP, with a combined weight of 40.27 per cent. Both use base year 2011-12. Learn the base year, the compiler and the top weight - that is all RPSC has ever asked.

IIP - Index of Industrial Production (base 2011-12, NSO/MoSPI)

Component	Weight	Note
Manufacturing	77.63	Highest weight by a wide margin
Mining	14.37	Second
Electricity	7.99	Third and smallest

Index of Eight Core Industries (base 2011-12) - weights in descending order

Core industry	Weight	Rank
Refinery products	28.04	1
Electricity	19.85	2
Steel	17.92	3
Coal	10.33	4
Crude oil	8.98	5
Natural gas	6.88	6
Cement	5.37	7
Fertilizers	2.63	8

YAAD RAKHO

Remember the core order - Refinery, Electricity, Steel, Coal, Crude oil, Natural gas, Cement, Fertilizers. Refinery products always first, fertilizers always last. RPSC asks only for the highest or the lowest, so those two ends are the whole question.

MSME - the definition question, in both its versions

This is the highest-value section in the chapter, and the most dangerous, because the definition has been revised twice. A 2026 paper could quote either version. So carry both tables. The parent law is the Micro, Small and Medium Enterprises Development Act, 2006, which came into force on 2 October 2006. It created the National Board for MSME and the delayed-payment remedy - Section 15 requires a buyer to pay an MSME supplier within 45 days.

How the MSME definition evolved

MSMED Act 2006 - investment-only criterion, separate limits for manufacturing and services

→

S.O. 2119(E) dated 26 June 2020, effective 1 July 2020 - composite investment AND turnover; manufacturing/service distinction removed

→

S.O. 1364(E) dated 21 March 2025, effective 1 April 2025 - investment limits multiplied by 2.5, turnover limits doubled

VERSION 1 - classification effective 1 July 2020 (S.O. 2119(E) of 26 June 2020)

Category	Investment in plant, machinery or equipment	Annual turnover
Micro	Not more than Rs 1 crore	Not more than Rs 5 crore

Category	Investment in plant, machinery or equipment	Annual turnover
Small	Not more than Rs 10 crore	Not more than Rs 50 crore
Medium	Not more than Rs 50 crore	Not more than Rs 250 crore

VERSION 2 - classification effective 1 April 2025 (S.O. 1364(E) of 21 March 2025, announced in Budget 2025-26)

Category	Investment in plant, machinery or equipment	Annual turnover
Micro	Not more than Rs 2.5 crore	Not more than Rs 10 crore
Small	Not more than Rs 25 crore	Not more than Rs 100 crore
Medium	Not more than Rs 125 crore	Not more than Rs 500 crore

- Read the two tables together and the rule jumps out - investment limits x2.5, turnover limits x2.
- Both versions use a COMPOSITE criterion: investment AND turnover. A unit must satisfy both to stay in a category.
- The manufacturing versus service distinction was removed in the 2020 revision - one set of limits for all.
- Exports are excluded while computing turnover, so export growth does not push a unit out of MSME status.
- Cross either limit and the unit moves up to the next category.

MSME limits in force from 1 April 2025 - both criteria must be met

Medium
Investment up to Rs 125 crore
Turnover Rs 500 cr

Small
Investment up to Rs 25 crore
Turnover Rs 100 cr

Micro
Investment up to Rs 2.5 crore
Turnover Rs 10 cr

ASKED IN RAS

Asked in RAS Pre 2023 - statements on the June 2020 MSME revision. The two correct statements were that the manufacturing/service distinction was removed and that exports are excluded from turnover. RPSC also touched MSME promotion policy in 2023 and 2024. Expect MSME again in 2026, and expect the newer 1 April 2025 limits.

TRAP

Two dates per revision - do not mix them. 2020: notified 26 June 2020, effective 1 July 2020. 2025: notified 21 March 2025, effective 1 April 2025. If a question says 'effective from', the answer is the July or April date.

CURRENT LINK

Current link, as of September 2026: the classification actually in force is the one notified by S.O. 1364(E) of 21 March 2025 and effective from 1 April 2025 - Micro Rs 2.5 crore and Rs 10 crore, Small Rs 25 crore and Rs 100 crore, Medium Rs 125 crore and Rs 500 crore. So if a 2026 paper asks for 'the present limits', the July 2020 set (Rs 1 crore / Rs 5 crore and so on) is now the distractor, not the answer. Carry both, answer with the date the question gives you.

Udyam registration and the MSME schemes

Udyam is simply the registration system that gives an enterprise its MSME identity. It replaced the old Udyog Aadhaar Memorandum. The schemes that follow are asked as match-the-following - scheme to nodal agency, scheme to year, scheme to purpose. So learn them in exactly that shape and nothing more.

- Udyam Registration portal launched on 1 July 2020 - the same day the new classification took effect.
- It is free, paperless and based on self-declaration, using PAN and Aadhaar.
- Udyam Assist Platform, added in 2023, brings informal micro enterprises into the formal fold.
- PMEGP's national nodal implementing agency is KVIC. Do not answer SIDBI.
- CGTMSE has two parents - the Government of India and SIDBI, both together.
- PM Vishwakarma is under the Ministry of MSME, not the Ministry of Skill Development. That swap is a standard wrong option.

MSME schemes worth memorising

Scheme	Year	Key fact
PMEGP - Prime Minister's Employment Generation Programme	2008	National nodal implementing agency is the Khadi and Village Industries Commission
CGTMSE - Credit Guarantee Fund Trust for Micro and Small Enterprises	2000	Government of India plus SIDBI; collateral-free credit guarantee
MSME Samadhaan	-	Portal for the delayed-payment remedy under Section 15 of the MSMED Act
MSME Sambandh	-	Monitors public procurement from micro and small enterprises by CPSEs and ministries
ZED certification	-	Zero Defect Zero Effect - quality and environment certification for MSMEs
RAMP - Raising and Accelerating MSME Performance	-	World Bank-assisted, outlay about Rs 6,062 crore
Self-Reliant India Fund	2020	Rs 50,000 crore equity infusion into MSMEs
PM Vishwakarma	17 September 2023	Ministry of MSME; 18 traditional trades; collateral-free credit of Rs 1 lakh then Rs 2 lakh at 5 per cent concessional interest

Make in India, PLI, Startup India, Atmanirbhar Bharat

These four are the manufacturing-promotion cluster of the post-2014 era. Each has a launch date and one headline number, and those two things are the entire exam content. Note also the predecessor: the National Manufacturing Policy of 2011, which set the target of raising manufacturing to 25 per cent of GDP and creating 100 million jobs, and which introduced National Investment and Manufacturing Zones.

The promotion drives - date and headline number

Initiative	Launched	Headline facts
Make in India	25 September 2014	Started with 25 sectors; Make in India 2.0 covers 27 sectors; administered by DPIIT
PLI - Production Linked Incentive	First three sectors approved March 2020	14 sectors; total outlay about Rs 1.97 lakh crore; the first three were large-scale electronics and mobiles, bulk drugs (KSM/API) and medical devices
Startup India	16 January 2016	16 January is now National Startup Day; Fund of Funds for Startups Rs 10,000 crore, operated by SIDBI; Startup India Seed Fund Scheme Rs 945 crore
Atmanirbhar Bharat Abhiyan	12 May 2020	Package of Rs 20 lakh crore, about 10 per cent of GDP; five pillars - Economy, Infrastructure, System, Vibrant Demography, Demand

The post-2014 manufacturing and startup push

Raising manufacturing and enterprise

Make in India
25 September 2014
- 25 sectors at launch
- 2.0 covers 27 sectors
- Administered by DPIIT

PLI
first three sectors, March 2020
- 14 sectors in all
- Rs 1.97 lakh crore
- Electronics and mobiles
- Bulk drugs, devices

Startup India
16 January 2016
- National Startup Day
- FoF Rs 10,000 crore
- Seed Fund Rs 945 cr
- Up to 10 years old

- The entity must be up to 10 years old from the date of incorporation.
- Turnover must not have exceeded Rs 100 crore in any financial year.
- It must be working towards innovation, development or improvement of products, processes or services.
- The Fund of Funds does not invest in startups directly - it invests through SEBI-registered venture capital funds, and SIDBI operates it.

Industrial corridors, SEZs and asset monetisation

An industrial corridor is a long strip of planned industrial development laid along a transport spine. The oldest and biggest is the Delhi-Mumbai Industrial Corridor, planned from 2006 in collaboration with Japan and aligned with the Western Dedicated Freight Corridor. That link - DMIC along the Western DFC - is the connection RPSC likes, because it joins two chapters together.

The industrial corridors

Corridor	Short form	Note
Delhi-Mumbai Industrial Corridor	DMIC	2006, Japanese collaboration, aligned with the Western DFC

Corridor	Short form	Note
Chennai-Bengaluru Industrial Corridor	CBIC	Southern manufacturing spine
Amritsar-Kolkata Industrial Corridor	AKIC	Along the Eastern DFC
Bengaluru-Mumbai Economic Corridor	BMEC	Links the western and southern industrial belts

- The implementing agency for corridors is NICDC - National Industrial Corridor Development Corporation, formerly DMICDC.
- SEZ Act, 2005; the SEZ Rules took effect on 10 February 2006.
- The SEZ scheme was first introduced by the EXIM Policy of 2000, before the Act was passed.
- Kandla, set up in 1965, was India's and Asia's first Export Processing Zone.

National Monetisation Pipeline - monetisation is not sale

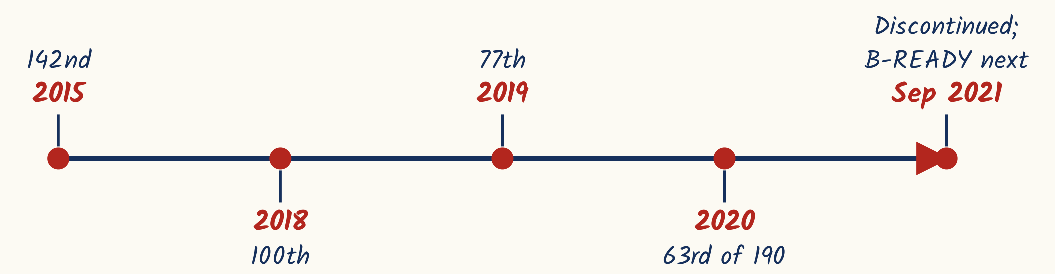
- Prepared by NITI Aayog, announced on 23 August 2021.
- Rs 6 lakh crore of core assets over FY2022 to FY2025.
- Ownership stays with the government - only the earning stream is leased out for a period.
- Only brownfield assets, that is assets already built and operating, qualify.
- Budget 2025-26 announced a second Asset Monetisation Plan of Rs 10 lakh crore for 2025-30.

Ease of doing business and the four labour codes

Two different things share this heading and RPSC exploits that. One is a World Bank ranking of countries. The other is an Indian ranking of states run by DPIIT. Keep them apart.

- India ranked 63rd of 190 economies in the World Bank's Doing Business 2020 - the last edition of that report.
- The rank ladder before that: 142nd in 2015, 100th in 2018, 77th in 2019, 63rd in 2020.
- Doing Business was discontinued in September 2021 and is being replaced by B-READY (Business Ready).
- Inside India, DPIIT - Department for Promotion of Industry and Internal Trade, Ministry of Commerce and Industry - runs the Business Reform Action Plan ranking of states.
- DPIIT was renamed from DIPP in 2019; it also administers Make in India and Startup India recognition.

India in the World Bank's Doing Business ranking



ASKED IN RAS

Asked in RAS Pre 2021 and again in RAS Pre 2024 - India's rank in Doing Business 2020 (63rd of 190) and the department that prepares the Business Reform Action Plan ranking of states (DPIIT). Two appearances of the same cluster in consecutive relevant papers. Learn the ladder 142-100-77-63 and the five letters D-P-I-I-T. This is close to a guaranteed mark.

The four labour codes - 29 central Acts folded into four

Code	Year	Central Acts subsumed
Code on Wages	2019	4
Industrial Relations Code	2020	3
Code on Social Security	2020	9
Occupational Safety, Health and Working Conditions Code	2020	13

CURRENT LINK

Current link, as of September 2026: the four labour codes were brought into effect from 21 November 2025 after sitting on the statute book for years. A fresh effective date like this is exactly what RPSC converts into a one-liner. Also fresh - the second Asset Monetisation Plan of Rs 10 lakh crore for 2025-30, announced in Budget 2025-26.

TRAP

Doing Business is a World Bank report on countries. The Business Reform Action Plan is a DPIIT exercise ranking Indian states. And DPIIT sits in Commerce and Industry, not Finance and not MSME. Three separate confusions, all in one question.

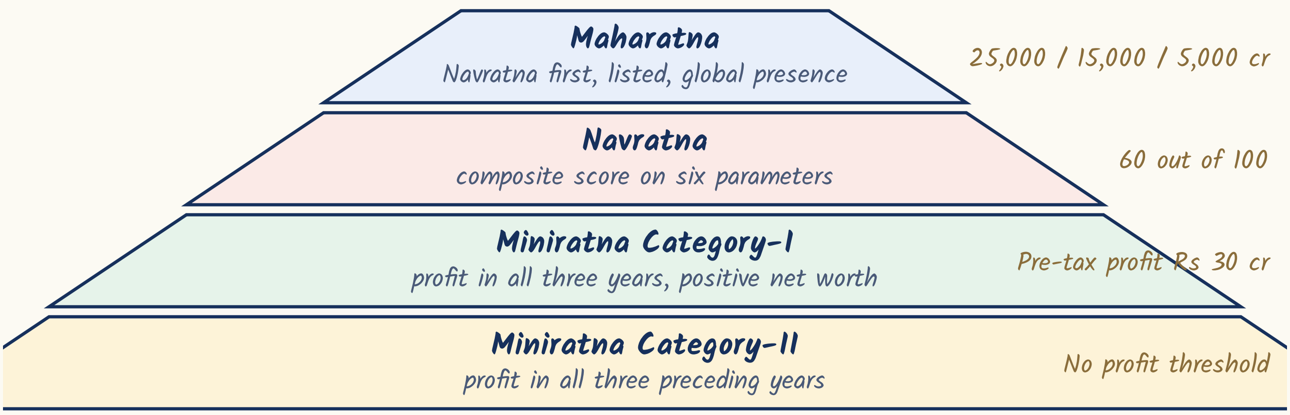
Public sector enterprises - the ratna grades

Central public sector enterprises are graded Maharatna, Navratna, Miniratna-I and Miniratna-II. The grade decides how much a board can invest without going back to the government for approval. The criteria are pure numbers, and that is exactly how they are asked.

CPSE categories and their entry criteria

Category	Criteria	The number to remember
Maharatna	Must already be a Navratna; listed on a stock exchange; three-year average turnover above Rs 25,000 crore; average net worth above Rs 15,000 crore; average net profit above Rs 5,000 crore; significant global presence	25,000 / 15,000 / 5,000 crore
Navratna	A composite score of 60 out of 100 on six performance parameters	60 out of 100
Miniratna Category-I	Pre-tax profit of Rs 30 crore or more in at least one of the last three years, profit in all three years, positive net worth	Rs 30 crore
Miniratna Category-II	Profit in all three preceding years and a positive net worth	No profit threshold

CPSE grades - the higher the grade, the wider the board's powers



- Navratna status is a pre-condition for Maharatna - a company cannot jump straight to the top grade.
- NHPC Limited is a Navratna, not a Maharatna; RPSC has used it as the odd-one-out.
- Disinvestment and asset management for CPSEs is handled by DIPAM under the Ministry of Finance.
- A Maharatna board has the widest investment powers - that is the practical point of the whole grading system.

REVISION RECAP

1. IPR 1948 - 6 April 1948, first industrial policy, mixed economy, four-fold classification.
2. IPR 1956 - 30 April 1956, 'Economic Constitution of India', basis of the Second Five Year Plan.
3. IPR 1956 schedules: A = 17 State-only, B = 12 progressively state-owned, C = the rest.
4. IPS 1977 = Janata, tiny sector, District Industries Centres. IPS 1980 = nucleus plants, economic federalism.
5. NIP 24 July 1991 - Rao and Manmohan Singh; licence only for 18 industries; reserved list 17 to 8; MRTP asset limit gone; FDI 51 per cent automatic in 34 industries.
6. Rupee devalued 1 and 3 July 1991 by about 18-19 per cent; gold pledged with the Bank of England and the Bank of Japan.
7. MRTP 1969 to Competition Act 2002; FERA 1973 to FEMA 1999 (in force 1 June 2000); SICA/BIFR to IBC 2016.
8. IIP base 2011-12, NSO/MoSPI - manufacturing 77.63, mining 14.37, electricity 7.99.
9. Eight Core Industries, base 2011-12, Office of the Economic Adviser, 40.27 per cent of IIP; refinery 28.04 highest, fertilizers 2.63 lowest.
10. MSMED Act 2006 in force 2 October 2006; Section 15 gives the 45-day payment remedy.
11. MSME effective 1 July 2020: Micro 1/5, Small 10/50, Medium 50/250 crore (investment/turnover).
12. MSME effective 1 April 2025: Micro 2.5/10, Small 25/100, Medium 125/500 crore - investment x2.5, turnover x2.
13. PMEGP nodal agency KVIC; CGTMSE is GoI plus SIDBI; PM Vishwakarma 17 September 2023, 18 trades, Ministry of MSME.

14. Make in India 25 September 2014 (DPIIT, 25 sectors, 2.0 has 27); PLI 14 sectors, Rs 1.97 lakh crore; Startup India 16 January 2016, FFS Rs 10,000 crore via SIDBI.
15. Startup recognition: up to 10 years old, turnover never above Rs 100 crore in any financial year.
16. DMIC 2006 with Japan along the Western DFC, agency NICDC; SEZ Act 2005, rules 10 February 2006; Kandla 1965, Asia's first EPZ.
17. NMP - NITI Aayog, 23 August 2021, Rs 6 lakh crore, brownfield only, ownership retained; second plan Rs 10 lakh crore for 2025-30.
18. Doing Business 2020 rank 63 of 190, report discontinued September 2021, B-READY replaces it; BRAP state ranking is DPIIT's.
19. Maharatna needs Navratna status plus Rs 25,000 crore turnover, Rs 15,000 crore net worth, Rs 5,000 crore profit; Navratna 60 out of 100; Miniratna-I Rs 30 crore pre-tax profit.
20. Four labour codes subsume 29 Acts, effective 21 November 2025 - Wages 2019, IR 2020, Social Security 2020, OSH 2020.